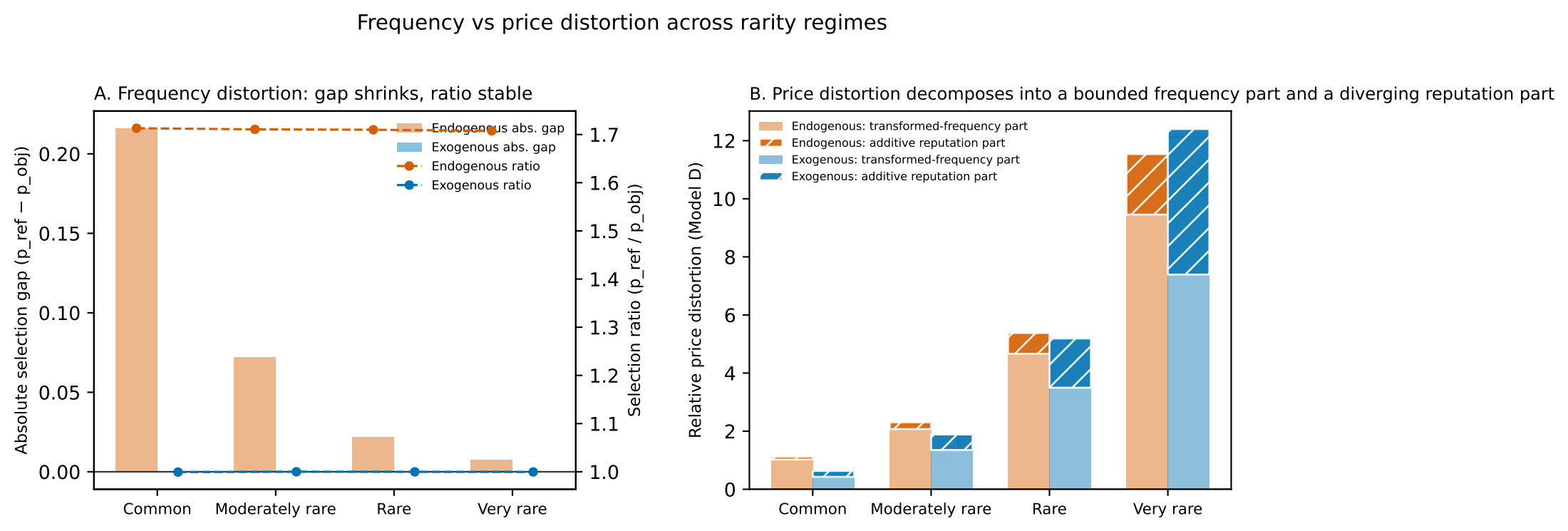
Frequency vs price distortion across rarity regimes
A. Frequency distortion: gap shrinks, ratio stable
Absolute selection gap (p_ref − p_obj)
Selection ratio (p_ref / p_obj)
Endogenous abs. gap
Exogenous abs. gap
Endogenous ratio
Exogenous ratio
0.00
0.05
0.10
0.15
0.20
1.0
1.1
1.2
1.3
1.4
1.5
1.6
1.7
Common
Moderately rare
Rare
Very rare
B. Price distortion decomposes into a bounded frequency part and a diverging reputation part
Relative price distortion (Model D)
Endogenous: transformed-frequency part
Endogenous: additive reputation part
Exogenous: transformed-frequency part
Exogenous: additive reputation part
0
2
4
6
8
10
12
Common
Moderately rare
Rare
Very rare